

FOLLOW THE MONEY

In the next decade, there will be more wealth in this country than ever before. Opportunities to serve the wealthy will be greater than ever. Consider these facts about the American economy:

♦ In 1996, approximately 3.5 million households in America (out of a total of 100 million households) had a net worth of \$1 million or more. Millionaire households accounted for nearly half of all private wealth in America.

♦ During the ten-year period from 1996 through 2005, wealth held by American households is expected to grow nearly six times faster than the household population. By the year 2005, the total net worth of American households will be \$27.7 trillion, or more than 20 percent higher than in 1996.

♦ By 2005, the millionaire household population is expected to reach approximately 5.6 million. At that time, the majority of the private wealth in America (\$16.3 trillion of \$27.7 trillion, or approximately 59 percent) will be held by the 5.3 percent of households that have a net worth of \$1 million or more.

During the period from 1996 through 2005, it is estimated that 692,493 decedents will leave estates worth \$1 million or more. This translates into \$2.1 trillion (in 1990 constant dollars). About one-third of this amount will be distributed to the decedents' spouses (in 80 percent of these cases, widows). Widows will receive an estimated \$560.2 billion, while the children of decedents will receive nearly \$400 billion (see [Table 7-1](#)). This translates into \$189,484 for each of the estimated 2,077,490 children of decedents. People who receive wealth from the estates of affluent parents have a significantly higher propensity to spend than others in their income/age cohort.

TABLE 7-1
ESTIMATED ALLOCATIONS¹ OF ESTATES VALUED AT \$1